KEY TERMS

- **Internal check:** The term internal check refers to allocation of duties to the employee in an organisation in such a way that the work of a person is automatically and independently checked by the other person.
- **Division of work:** The total work divided among various staffs based on their skill and expertise.
- **Purchase Returns:** When goods are returned to the suppliers.
- **Sales Returns:** Goods returned by customers.
- **Invoice:** Invoice is a statement. It is prepared by the seller of goods. It contains the information relating to name and address of the seller and the buyer, the date of sales, price and quantity of goods sold.
- **Debit note:** A debit note is a commercial document issued by a buyer to a seller. Debit note is the source document to the purchase returns journal.
- **Credit note:** A credit note is a commercial document issued by a seller to a buyer. Credit note is the source document to the sales return journal.

EVALUATION

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I. Multiple Choice Questions

1. A system in which the work of one person is automatically checked by another person is called as _____.
   a. internal check
   b. internal control
   c. internal audit
   d. interim audit
2. Objects of internal check are _____.
   a. to minimise errors and frauds
   b. to prevent errors and frauds
   c. to allocate duties and responsibilities
   d. all of the above
3. A good internal check system _____.
   a. to reduce the liability of an auditor
   b. reduces the work of an auditor
   c. reduce the responsibility of an auditor
   d. All of the above
4. The system of internal check is based on the principle of _____.
   a. division of labour
   b. unity of command
   c. unity of direction
   d. authority

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